

26STCV10564 26STCV10564

County: los-angeles

Division: Civil Law and Motion

Department: 310

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Case Number: 26STCV10564 Hearing Date: June 25, 2026 Dept: 310

Tentative Ruling

Judge Kevin C. Brazile

Department 310

Hearing Date: June 25, 2026

Case Name: Hernandez v. Mercedes-Benz USA, LLC, et al.

Case No.: 26STCV10564

Matter: Motion to Compel Arbitration

Moving Party: Defendant MBUSA

Responding Party: Plaintiff Blanca Hernandez

Notice: OK

Ruling: The Motion is granted.

Moving party to give notice.

The Court encourages all parties to appear remotely via LA CourtConnect. If submitting on the Court's tentative ruling, please follow the instructions provided above.

This is a lemon law matter.

Defendant MBUSA seeks to compel arbitration of this matter based on a lease provision and third-party beneficiary status.

“[O]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists.” (Code Civ. Proc. § 1281.2; see also *EFund Capital Partners v. Pless* (2007) 150 Cal.App.4th 1311, 1320 [the language in section 1281.2 compelling arbitration is mandatory].) The right to compel arbitration exists unless the court finds that the right has been waived by a party’s conduct, other grounds exist for revocation of the agreement, or where a pending court action arising out of the same transaction creates the possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc. § 1281.2(a)-(c).)

“On a petition to compel arbitration, the trial court must first determine whether an agreement to arbitrate the controversy exists. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent’s signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541.) The party seeking to compel arbitration must also “plead and prove a prior demand for arbitration and a refusal to arbitrate under the agreement.” (*Mansouri v. Superior Court* (2010) 181 Cal.App.4th 633, 640-641.)

The subject provision states, “Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third-Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a ThirdParty Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.”

“A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (Civ. Code § 1559.)

“The test for determining whether a contract was made for the benefit of a third person is whether an intent to benefit a third person appears from the terms of the contract. [Citation.] If the terms of the contract necessarily require the promisor to confer a benefit on a third person, then the contract, and hence the parties thereto, contemplate a benefit to the third person. The parties are presumed to intend the consequences of a performance of the contract.” (*Johnson v. Holmes Tuttle Lincoln–Merc.* (1958) 160 Cal.App.2d 290, 297.) In other words, “the doctrine presupposes that the defendant made a promise which, if performed, would have benefited the third party.” (*Souza v. Westlands Water Dist.* (2006) 135 Cal.App.4th 879, 891.)

MBUSA is a third-party beneficiary because the subject agreement requires that both Plaintiff and the lessor agree that related claims against the distributor, specifically MBUSA, be submitted to arbitration.

Plaintiff failed to establish substantive unconscionability so as to invalidate the subject lease.

Because a valid arbitration agreement encompasses this dispute, the Motion to Compel Arbitration is granted. This action is stayed pending the resolution of arbitration. (CCP § 1281.4.)

Moving party to give notice.